

Crypto Trust Standard

A Unified Safety Framework for Cryptocurrency Projects

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What Crypto Fraud Actually Costs

The cryptocurrency market loses more than \$10 billion annually to fraud. Not because the blockchain hides transactions — every transfer is permanent and publicly visible. The losses happen because no systematic safety standard exists to prevent fraudulent projects from reaching investors in the first place.

Four scam types account for the overwhelming majority of losses. Each exploits a different structural vulnerability in how cryptocurrency projects are launched and promoted.

SCAM TYPE	ANNUAL LOSS	HOW IT WORKS
Rug Pull	\$2.8B+	Creators drain the liquidity pool and disappear within 24–48 hours of launch, leaving investors with worthless tokens.
Pump & Dump	\$80M+	Coordinated hype drives retail purchases; large holders dump simultaneously, collapsing the price.
Fake Platform	\$3.96B	Fabricated profit dashboards backed by a private database, not any real blockchain. Investors see growth that does not exist.
Fake Celebrity Scam	700% ↑ (2023)	AI deepfakes of real public figures promote scam coins. No mechanism exists to verify whether an endorsement is genuine.

The Opportunity in One Page

The Crypto Trust Standard (CTS) is an open, four-layer safety framework defining minimum technical requirements that any cryptocurrency project must satisfy to earn a publicly verifiable Trust Badge. The framework addresses the four dominant scam types — rug pull, pump-and-dump, fake platform, and fake celebrity endorsement — through a single bundled standard rather than the disconnected tools that currently exist.

The tools required to prevent each of these scam types already exist individually: liquidity locking platforms, smart contract audit firms, on-chain data oracles, and identity protocols. What has not existed, until now, is a single named framework that bundles all four into a mandatory exchange listing requirement backed by ongoing automated verification.

The CTS framework specifies four layers — Liquidity Lock (L1), Anti-Whale Enforcement (L2), On-Chain Verification (L3), and the Cryptographic Endorsement Registry (L4) — each with precise minimum thresholds designed to prevent a specific scam type. Compliance is binary: a coin either meets all four layers or it does not. There are no partial badges, no waivers, and no tiered compliance pathways.

The TrustRegistry smart contract, the Trust Badge issuance system, and the verification infrastructure are operated by **CASHFLOW IQ**, the registered operating entity behind the standard. The framework itself is open and published under CC BY 4.0; the platform that enforces it is the protected business. This structure mirrors how established standards bodies operate: the standard is credible and open, the operating platform is the sustainable business.

This whitepaper presents the full technical specification, the business model for CASHFLOW IQ as the operating platform, the adoption strategy, and the 18-month roadmap from publication to working standard.

Why Existing Solutions Fall Short

The crypto industry has not ignored these problems. Several products and services address pieces of the puzzle. The fundamental issue is that they are pieces — not a unified standard — and their adoption is entirely voluntary.

Unicrypt & Team.Finance <i>Liquidity locking tools</i>	Limitation: Allow project founders to lock liquidity pool funds for a set period. Used by some legitimate projects. Not required by any major exchange. Easy to circumvent by launching a second unlocked pool after the original lock expires.
CertiK & Hacken <i>Smart contract audit firms</i>	Limitation: Perform code audits for a fee and issue a report. Valuable — but audits check code correctness, not scam-resistance behaviour. Safemoon was CertiK-audited and still imploded as one of crypto's biggest frauds. Audits are expensive (\$20k–\$100k) and one-time, not ongoing.
ENS Domains <i>Wallet identity</i>	Limitation: Allow wallets to have human-readable names (e.g. 'shamz.eth'). Basic identity layer that exists but has no enforcement mechanism, no connection to real-world identity verification, and no link to endorsement signing.
Anti-Whale Mechanisms <i>Supply controls</i>	Limitation: Some coins include wallet holding limits in their code. Not standardised, not required, and often removed silently in subsequent contract upgrades by founders who control the upgrade keys.
SEC / FCA / MiCA Regulation <i>Government oversight</i>	Limitation: Governments are writing rules — MiCA in Europe is now in force, the SEC is aggressively pursuing enforcement in the US. But regulation targets exchanges and securities classification, not the coin-level safety architecture that prevents harm before it happens.

"What's missing is not the tools. It's the mandate. No single entity bundles all four protections into an enforceable listing requirement."

The Crypto Trust Standard

The Crypto Trust Standard is a four-layer safety framework that any cryptocurrency project must satisfy to earn a Trust Badge. The badge signals to exchanges, investors, and regulators that the project has deployed verifiable, on-chain protections against the four dominant scam types.

The analogy is Underwriters Laboratories (UL). UL doesn't manufacture electrical appliances — it verifies them as meeting a safety standard, and major retailers refuse to stock products that haven't passed it. The Crypto Trust Standard operates the same way: it doesn't issue coins, it verifies them. Exchanges don't list unverified coins. Investors see the badge and know minimum protections are in place.

1

Layer 1: Liquidity Lock

Founder and team token allocations are locked in a smart contract for a minimum of 24 months from the date of public launch. Coins vest monthly at a maximum rate of 4% per month. The lock is enforced by an audited, non-upgradeable smart contract — the founding team cannot accelerate, transfer, or unlock funds outside the schedule.

2

Layer 2: Anti-Whale Enforcement

No single wallet address may hold more than 1% of the total coin supply at any point after the first 30 days of trading. A maximum daily sell volume of 0.25% of total supply per wallet is enforced at the contract level. Both rules are written into the token contract's transfer function and cannot be disabled without a governance vote requiring 67% supermajority.

3

Layer 3: On-Chain Verification Standard

Any platform or application that displays user balances for a verified coin must source those balances in real time from the public blockchain via a verified RPC call. Platforms are prohibited from displaying balances from private databases. This layer is enforced through a cryptographic attestation: the platform signs each balance display with a key registered on-chain.

4

Layer 4: Cryptographic Endorsement Registry

Any person who wishes to promote a verified coin must register their real identity against a wallet address via a zk-proof identity provider (e.g. Worldcoin, Gitcoin Passport, or an approved KYC partner). Promotional content must be cryptographically signed by a registered identity. Unsigned promotional content — including AI-generated video — is automatically flagged by exchange APIs as unverified.

How It Works on the Blockchain

Each of the four layers is implemented through a combination of immutable smart contract code, an on-chain registry, and a public verification API. The following describes the minimum technical implementation for each layer.

Smart Contract Requirements

All verified coins must be deployed using the Trust Standard Token Template — an open-source ERC-20 (Ethereum) or SPL (Solana) smart contract template maintained by CASHFLOW IQ. The template is non-upgradeable: once deployed, no administrator key can change the vesting schedule, anti-whale limits, or verification attestations.

Vesting contract: A separate, audited VestingVault contract holds all team and founder allocations. The vault's release schedule is fixed at deployment and publicly visible on-chain. No function exists to accelerate or pause the schedule. The vault is not owned by any private key — it is governed by time alone.

Anti-whale transfer hook: The token contract's *transfer()* function includes a before-transfer hook that checks the recipient's post-transfer balance against 1% of total supply. Transfers that would breach the limit revert automatically. The daily sell limit is tracked via a per-address rolling 24-hour volume mapping.

The On-Chain Registry

A central TrustRegistry smart contract (deployed on Ethereum mainnet) stores three datasets: (1) the address of every verified coin's token contract, (2) the cryptographic public keys of identity-verified endorsers, and (3) the signed attestations of platforms authorised to display balances. Any application can query the registry in real time via a public JSON-RPC API. Exchange listing systems can automate Trust Badge display based on registry membership.

Verification Process

Before a project earns its Trust Badge, CASHFLOW IQ performs three verification steps:

1

Code Audit

An independent review of the deployed smart contract verifies that the token template has not been modified, the VestingVault address is correct, and the anti-whale hooks are active. The audit is performed by a licensed third-party firm (initially partnered; eventually in-house).

2

Deployment Verification

CASHFLOW IQ runs an automated on-chain check: reads the vesting schedule, tests the anti-whale hook by simulating an over-limit transfer, and confirms the platform attestation key is registered. This check is re-run quarterly as part of verification maintenance.

3

Identity Registry Check

All founding team members must have a verified identity entry in the endorsement registry before badge issuance. Partial team registration is not accepted.

What a Coin Must Do to Earn the Trust Badge

Verification is binary: a coin either meets the full standard or it does not. There are no partial badges, no 'almost verified' tiers, and no waivers. This binary design is intentional — a partial standard is a loophole, and loopholes are how scammers survive.

REQUIREMENT	MINIMUM THRESHOLD	HOW VERIFIED
Liquidity Lock Duration	24 months minimum from launch date	On-chain VestingVault read
Vesting Rate (max)	4% of founder allocation per month	On-chain VestingVault schedule
Wallet Concentration Limit	No wallet >1% of total supply after Day 30	Simulated transfer test on-chain
Daily Sell Cap	0.25% of supply per wallet per 24 hours	Transfer hook simulation
Platform Attestation	All display platforms must be registry-signed	TrustRegistry API query
Team Identity Verification	100% of named founders in identity registry	TrustRegistry identity lookup
Contract Upgradeability	Non-upgradeable: no admin key with override power	Code audit — ownership() function check
Quarterly Re-Verification	All checks re-run every 12 months	Automated quarterly + annual full audit

What Verification Does NOT Guarantee

The Trust Badge signals that a coin has implemented verified, on-chain anti-scam protections. It does not guarantee the coin will increase in value, succeed commercially, or represent a good investment. Verification is a safety floor, not a financial endorsement. CASHFLOW IQ takes no responsibility for the investment performance of verified coins.

Three Ways to Capture the Opportunity

The Crypto Trust Standard can be built as a business in three distinct ways. Each has different capital requirements, revenue profiles, and adoption risks. They are not mutually exclusive — the recommended path starts with Option A and incorporates elements of Option C as scale increases.

Option A

The Verification Platform

Recommended starting point

Revenue model	Annual verification fee: \$5,000–\$50,000 per coin depending on market cap and complexity. Re-verification annually at 60% of original fee.
Comparable	CertiK reportedly earns \$50M+ per year on partial code audits alone. Full-stack verification of a growing market is a larger, stickier revenue model.
Capital required	Low: \$200k–\$500k to build the verification API, hire two blockchain engineers, and verify the first 20 coins as proof of concept.
Risk	Adoption depends on exchanges mandating the badge. Without exchange buy-in, demand for verification is voluntary — and slow.

Option B

The Trust Token

Higher upside, higher complexity

Revenue model	Native token (e.g. TRUST) appreciated via staking demand. Projects stake TRUST tokens to signal compliance. Rug pullers forfeit their stake automatically — the code enforces the economic penalty.
Comparable	Proof-of-stake security model applied to project reputation rather than blockchain consensus.
Capital required	Medium: \$1M–\$3M to build the staking infrastructure, bootstrap liquidity, and launch the token compliantly.
Risk	Launching a token before the standard has credibility risks looking like the very thing the standard is designed to prevent — a coin launched for hype. Timing matters. Do this after Option A has traction.

Option C

The Infrastructure Play

Long-term, open-source moat

Revenue model

Open-source smart contract template is free. Revenue comes from the audit ecosystem, the verification API (SaaS subscription for exchanges), and white-label verification services for exchanges that want their own branded safety layer.

Comparable

Linux is free; Red Hat (IBM) made billions in enterprise services around it. The template is the loss-leader; the platform is the business.

Capital required

High: requires developer adoption before revenue. Best pursued after the standard has been adopted by at least two major exchanges.

Risk

Open-source templates can be forked. The business depends on the reputation of the standard, not the code — which is harder to fork.

The Numbers Behind the Gap

\$2 Trillion Total crypto market cap (2024 peak)	\$10B+ Lost to crypto scams annually	2.4 Million Coins in existence today
~99% Of coins worth effectively zero	0 Universal trust standards that exist	\$50M+/yr CertiK earns on partial audits alone
\$3.96B FBI-reported crypto fraud losses in 2023	700% Increase in deepfake investment scams (UK FCA, 2023)	\$100k+ Average pig-butcherer victim loss

Addressable Revenue

If 5% of the 2.4 million coins in existence sought verification at an average fee of \$15,000, the initial addressable market is \$1.8 billion in verification revenue alone — before exchange API subscriptions, enterprise licensing, or token economics. Even at 0.5% adoption at \$10,000 average, that is \$120 million in annual recurring revenue.

The more relevant comparison is the financial audit industry. The Big Four accounting firms collectively earn over \$180 billion per year auditing companies against a mandatory standard. Crypto currently has no mandatory equivalent. That is the market the Crypto Trust Standard is positioned to create.

Getting Exchanges to Require the Badge

The central chicken-and-egg problem: exchanges won't require the badge until it has credibility, and it won't have credibility until exchanges require it. The path through this is not to pitch exchanges first — it is to build credibility first, so that exchanges come asking.

Month 1–4	Publish the Whitepaper This document — or a refined version of it — is the first credibility artifact. A serious whitepaper with a clear technical specification signals that this is a standards body, not a startup looking for attention. Publish it publicly. Submit it to CoinDesk, Decrypt, and Bloomberg Crypto for coverage.
Month 2–6	Launch the Public Safety Scorecard Before charging anyone, audit 20–50 coins against the four-layer standard manually and publish the results publicly on a 'Rotten Tomatoes for crypto safety' website. Make it searchable. Make it shareable. When an investor Googles a coin and finds a safety score, the platform is useful before anyone has paid for it.
Month 4–8	Build Media & Community Presence One well-placed story in a major crypto media outlet generates more exchange interest than ten cold-pitch emails. Target CoinDesk's Consensus coverage, Decrypt's investigative desk, and Bloomberg's crypto team. The story angle: 'The org trying to be the UL of crypto.'
Month 6–10	Attend One Major Conference ETHDenver (\$200–\$500), Consensus by CoinDesk (\$500–\$2,000), or Token2049 are where exchange compliance officers, regulators, and institutional investors are found in person. One real conversation with a Coinbase or Binance compliance director is worth more than 100 cold emails.
Month 8–18	Approach Regulators as a Partner The SEC and MiCA are actively writing crypto rules. An industry-built safety standard that regulators can reference — or mandate — is exactly what they are looking for. Submit the standard to the SEC's crypto task force as a comment. Engage with MiCA implementation teams in Europe. Be the solution regulators cite.

"Estimated cost to reach credibility (Month 6): under \$3,000 — primarily the conference registration and travel. The whitepaper, website, and media outreach cost time, not money."

What Could Go Wrong and How to Navigate It

Exchange Buy-In

Risk: The critical dependency. Without Coinbase, Binance, or Kraken requiring the badge, adoption is voluntary and adoption will be slow.

Mitigation: Build credibility through the public scorecard and media before approaching exchanges. Frame the ask not as 'adopt our standard' but as 'use our API to show your investors you care about safety.' Start with a smaller exchange (Kraken, Gemini) as the first partner.

Gaming the Standard

Risk: Projects pass the audit, earn the badge, then conduct a rug pull afterwards via mechanisms not covered by the standard. Safemoon passed a CertiK audit.

Mitigation: Annual re-verification with automated quarterly on-chain monitoring. Badge revocation built into the TrustRegistry contract. Any anomalous sell pattern triggers an automated review and public notice within 24 hours.

Regulatory Preemption

Risk: Governments build their own mandatory frameworks (SEC, MiCA) that make the private standard redundant.

Mitigation: This is also a validation event. If regulators mandate the category, the organisation that already has the operating standard is the obvious compliance partner. Position early with regulators as the industry solution, not a competitor to government action.

Incumbent Competition

Risk: CertiK or Hacken expands their offering to become a full-stack standard, competing directly with this platform.

Mitigation: The moat is not the audit — it is the four-layer bundle and the exchange mandate. Incumbents' customers are the coins; this platform's customers are the exchanges. Different distribution, different incentives.

Open-Source Fork

Risk: Someone forks the smart contract template and launches a competing 'standard' using the same code.

Mitigation: The standard is not the code — it is the registry, the badge, and the exchange relationships. A fork of the code without the exchange mandate is worthless. The brand and the relationships are the defensible asset.

From Whitepaper to Working Standard

The following 18-month roadmap takes the Crypto Trust Standard from this document to a functioning operating platform with at least one exchange partner and 50+ verified coins.

Phase 1

Months 1–4 — Establish Credibility

- Publish this whitepaper publicly (GitHub + dedicated website)
- Build public safety scorecard — audit 20 coins manually against the four layers
- Submit standard to SEC crypto task force public comment process
- Register CASHFLOW IQ as the operating entity (Delaware LLC)

Phase 2

Months 4–8 — Build the Platform

- Develop the TrustRegistry smart contract (open source, audited)
- Build the verification API — exchanges can query badge status in real time
- Attend one major conference; make contact with exchange compliance officers
- Secure first 3 paying verification clients at a discounted 'founding partner' rate

Phase 3

Months 8–14 — First Exchange Partner

- Negotiate badge display integration with a Tier 2 exchange (e.g. Kraken, Gemini)
- Publish joint press release: exchange commits to displaying Trust Badge on verified coins
- Launch automated quarterly monitoring for all verified coins
- Target: 20 verified coins on the registry

Phase 4

Months 14–18 — Scale & Regulatory Alignment

- Approach Coinbase and Binance with exchange-partner proposal
- Submit standard to MiCA implementation bodies in the EU as a compliance framework

Target: 100 verified coins, \$1M annual recurring revenue

Evaluate Option B (Trust Token) feasibility based on market feedback

Who This Is For and What to Do Next

This whitepaper is a working document, not a finished product. It is deliberately published at the earliest stage so that the people who should shape this standard can influence it before it is set.

Exchange Compliance Teams	If your exchange is spending time and resources making listing decisions coin by coin, this standard is infrastructure that systematises that decision. We would like to understand what your compliance team would need from a trust badge to display it.
Crypto Projects & Founders	If you are building a legitimate coin and struggling to differentiate yourself from scammers, early verification at a founding partner rate is available. You will shape the standard and gain the badge before it is required.
Institutional Investors	If your fund's due diligence process includes crypto and the current lack of a safety standard is a risk-management problem, we would like to hear how the Trust Badge would need to work for your investment process to rely on it.
Regulators & Policy Teams	If you are writing crypto safety rules and looking for an industry-built framework to reference or mandate, this document is the starting point for that conversation.
Technical Partners	If you are a blockchain engineer, auditing firm, or identity provider who sees a role for your technology in the four-layer standard, we want to talk about the technical specification together.

""The question is not whether crypto needs a safety standard. The question is who builds it — regulators, or the industry itself.""

Glossary

Blockchain	A public, permanent, decentralised ledger of all transactions, maintained by a network of computers with no single owner.
Smart Contract	Self-executing code stored on a blockchain that runs automatically when predetermined conditions are met — no human middleman required.
Liquidity Pool	A reserve of funds (usually two currencies) that backs the trading of a cryptocurrency pair, enabling buyers and sellers to trade without a direct counterparty.
Rug Pull	A scam where project creators drain the liquidity pool, crashing the coin's value to zero and disappearing with the funds.
Pump & Dump	A scheme where large holders buy a coin cheaply, artificially inflate its price through hype, then sell all at once.
Vesting Schedule	A timeline that controls when locked funds are released. Used to prevent founders from selling all their coins immediately.
Anti-Whale Rule	A smart contract rule that prevents any single wallet from holding more than a set percentage of total supply.
ERC-20	The most common technical standard for tokens on the Ethereum blockchain. Most new coins are built to this standard.
ZK-Proof	Zero-knowledge proof: a cryptographic method that lets someone prove they know something (e.g. their identity) without revealing the underlying data.
TrustRegistry	The central on-chain database (smart contract) operated by CASHFLOW IQ that records verified coins, confirmed identities, and authorised platforms.
MiCA	Markets in Crypto-Assets — the European Union's regulatory framework for cryptocurrency, which came into force in 2024.
CertiK / Hacken	Leading smart contract auditing firms that review code for technical vulnerabilities — but do not verify scam-resistance behaviour.
CASHFLOW IQ	The registered operating entity that runs and enforces the Crypto Trust Standard: operates the TrustRegistry smart contract, issues the Trust Badge, and maintains the verification infrastructure. The framework is open; CASHFLOW IQ is the business.